

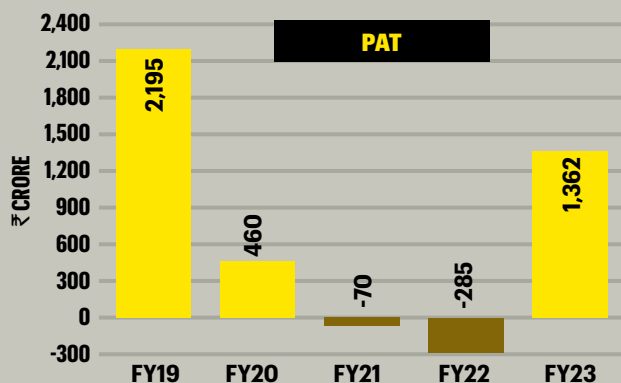
September 2020 to complement its smaller cousin, Dost. “AVTR has done very well, customers are extremely happy about it,” says Gopal Mahadevan, CFO and Whole Time Director of Ashok Leyland. “The [relatively low] total cost of ownership and other comfort, the drivability, the flexibility that modularity brings in, are all being felt by the customers today.”

Mahadevan also points to the cost-rationalisation initiatives the company has undertaken on multiple fronts—across materials, design, sourcing and distribution—and other moves taken to strengthen the balance sheet. “One of the most important things that we have been able to do in the current year has been to raise prices even as we gain market share, and that gain has not been just a number; it has been the increase in presence across the country, which means we have gained

to ensure that whatever the requirements of the customer and depending on the cost of the fuel as well, Ashok Leyland should have end-to-end alternative fuel product options.” He believes the AVTR platform provides a competitive edge in this area, with the modular platform having the ability to change from pure diesel to take on cylinders for LNG, CNG, and even Hydrogen with nominal modifications.

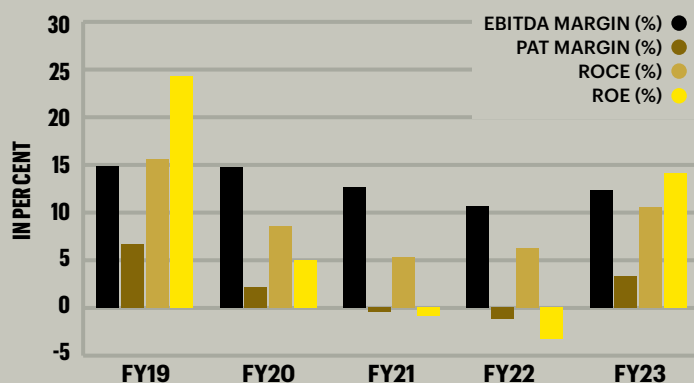
At the same time, there are internal deliberations going on for long-term introduction of some new products, especially in some “white spaces” that Ashok Leyland faces, according to Shenu Agarwal, MD & CEO of the company. “There is a large segment—sub-2 tonnes—where Ashok Leyland is not there, and it is also quite profitable. So, this is one area we have been contemplating whether we should get in or not for the past

...net profits have returned, but not to pre-Covid-19 levels...



DEPRECIATION AND AMORTISATION;

...and margins and ratios are back in good health



our share of the customers’ wallet in almost all zones in the country,” he says. The company also consciously worked towards reducing its debt and has now wiped out its standalone net debt of ₹3,289 crore in FY21 to turn cash-positive in FY23.

FOR THE FUTURE, Hinduja says the company has prepared itself well by working on various projects for different fuel options for the future: “We’ve got Switch Mobility (a subsidiary) for electric vehicles, buses and light vehicles. We don’t know which of the alternative fuel strategies would work for the future, whether it’s hydrogen, CNG or LNG, and also which fuel type would be the most optimal in which segment. So, we’ve kept the strategy

few years,” he says. “The problem is that this market is not new, it is very mature and there are established players with significant market share. So, it’s not just the technology, but also your reach and understanding of the customer that are at stake.”

Agarwal has a point. The sub-2-tonne (GVW or gross vehicle weight) category of goods carriers is dominated by Tata Motors with popular products such as the Ace, among others. For perspective, Tata Motors sold 114,557 vehicles in this segment in FY23, which comprised almost 30 per cent of its sales, a staggering number considering the wide range and reach of Tata’s LCVs. And even in the top-selling LCV segment with GVW between 2 tonnes and 3.5 tonnes, where Ashok Leyland sold 64,151 units of Dost and Bada Dost pickups